

position to start investing in a big way. We are beginning to see that in a small way. If you look at bank credit growth, non-food credit growth is now running at double digits for the last four months or so; there is an uptick and the banking balance sheets are in good shape; there is capital adequacy; even the RBI's latest financial stability report with the stress test shows that banks can withstand the most severe tests. So all the underlying conditions or building blocks are in place, but we have to wait for the current uncertainties to dissipate and then I'm confident that the much-awaited capital expenditure on the part of the primary sector or what we call the capex cycle will be evident in the data.

Q: When one talks to companies though, they agree with your point about too many external uncertainties, but also mention that capacity utilisation domestically is still running at sub-70 per cent in many industries, because of a lingering demand issue, and that does not give them the confidence to go ahead and do that capex. What would you say to that?

A: That is true, as far as the last financial [year] is concerned, but if we look at the current financial year, I think the underlying demand conditions are beginning to improve. All of us have been pleasantly surprised by the resilience of India's economic activity in the first quarter of the financial year. And, you can see that anecdotally as you cross the airport or as you visit hotels and restaurants. Also if you look at the capacity utilisation, it is picking up and in some sectors, has even crossed 75 per cent. Indeed, there are some core sectors where capacity utilisation has picked up to the point where additional capacities may be needed soon. And, if you look at two-wheeler and four-wheeler sales, they have picked up quite a bit after the slump last year. So in that sense, there are signs that both in the services sector and in some segments of manufactured goods, there is a nascent demand revival. But even if what you

ON GROWTH

We went through a balance sheet repair phase in the financial and the corporate sectors. Once the current uncertainties regarding the pandemic and the conflict in Europe fade, India may be poised to repeat the same sort of capex or credit boom as we experienced in the first decade of the new millennium.

ON GLOBAL UNCERTAINTIES

The financial markets' concerns with economic growth in the developed world having resulted in a fall in global commodity prices is a welcome development from the Indian standpoint. In the last few weeks, the global macroeconomic conditions, including that of commodity prices and interest rates in the US, especially the bond market, have moved in favour of India.

ON CAPEX

The government is continuing to focus on its capex until such time as the private sector goes all out and uses its improved profitability, balance sheet, and cash position to start investing in a big way

say is true, that this demand revival is not sufficiently durable and sustained enough for companies to start investing, I can understand that because both the companies as well as households have been waiting and watching to see whether the pandemic has fully receded from their consciousness. That is not yet the case, and before that could happen, we had the commodity price shock which affects both businesses as well as households. So, that is why I believe a more visible and evident recovery in demand, to be followed by a capex cycle, will start to happen hopefully in the second half of the year.

The caveat of course is that we are living in an uncertain world and have to accept that the timing of some of these things is getting a bit more uncertain and variable than we would have liked them to be.

Q: I certainly hope you're right on that front. But you spoke about the commodity price shock. Let me bring you back to inflation in India, where there are clear signs of peaking in many parts of the commodity universe, but Indian core CPI inflation is still running at 6 per cent. Even if you look at the month of June, is there an element of stickiness that you see or you fear in Indian inflation because you know what one worries about is whether inflation expectations are getting entrenched after a few months of running very high? Where do you stand on that?

A: I mean, look, forget about this cycle. You could have asked a question about India's inflation stickiness at any point in time in the last 40 years or 50 years. And, in my opinion, that stickiness comes from the fact that business compliance cost our logistics efficiencies—[which] still need to be addressed. They are being addressed with respect to the introduction of GST and the physical infrastructure improvements, etc., but it will take some time for them to again be visible in terms of data. So there is a certain stickiness and also it could be due to the fact that the capacities in India in several sectors are very small...